Procure-to-Pay Standard Operating Procedure

Finance Operations | Revision 4 | Effective Q1 2026

1. Purpose & Scope

This Standard Operating Procedure defines the end-to-end procure-to-pay process at ACME Corp, from the moment an employee identifies a need to the point at which the supplier is paid. It applies to all employees who raise purchasing requests, all managers who approve spend, and the Finance Operations team that processes purchase orders and invoices.

The process is made up of four connected stages. Each stage hands off to the next: a requisition is raised, it is approved against the approval matrix, a purchase order is generated from the approved requisition, and finally the supplier invoice is matched and payment is released.

1.1 Process Overview

1. Raising a Requisition - the requestor captures what they need and why.
2. Approval - the requisition routes to approvers based on amount and cost center.
3. PO Generation - an approved requisition becomes a purchase order sent to the supplier.
4. Three-Way Match - the invoice is matched to the PO and receipt before payment.

Roles referenced throughout this document: Requestor, Cost Center Manager, Finance Approver, Procurement Specialist, and Accounts Payable.

2. Raising a Purchase Request

2.1 Raising a Requisition

Any employee can initiate a purchase. Before a supplier can be engaged, the need must be captured as a formal requisition in the Procurement portal.

All purchases above $500 must begin with a purchase requisition raised in the Procurement portal.

The requestor selects the cost center, adds line items, and attaches a supplier quote before submitting for manager approval. Requisitions without a valid cost center are returned automatically.

To raise a requisition:

1. Open the Procurement portal and choose New Requisition.
2. Select the cost center the spend should be charged to.
3. Add one line item per product or service, with quantity and unit price.
4. Attach a supplier quote or catalog reference for each line item.
5. Review the auto-calculated total and submit for approval.

Once submitted, the requisition is locked for editing and routed to the first approver in the matrix. The requestor receives a confirmation with the requisition number and can track status from My Requests.

3. Approvals

3.0 Approval Matrix

Every requisition is routed for approval based on its total amount and the cost center it is charged against. Approvers are notified by email and in the portal.

Requisitions are approved in tiers: up to $5,000 by the Cost Center Manager, up to $25,000 by the Finance Approver, and above $25,000 by the VP of Finance.

Each approver can approve, reject with a reason, or request changes. A rejected requisition returns to the requestor; a change request reopens it for editing.

Approval rules:

1. Tier 1 - Cost Center Manager approves spend up to $5,000.
2. Tier 2 - Finance Approver approves spend from $5,001 to $25,000.
3. Tier 3 - VP of Finance approves spend above $25,000.
4. If an approver does not respond within 48 hours, the request escalates.

Approved requisitions move automatically to PO Generation. The approval trail (who approved, when, and any comments) is retained for audit.

4. Purchase Orders

A purchase order (PO) is the formal commitment sent to a supplier. It is generated only from a fully approved requisition.

4.2 PO Generation

Once a requisition clears the approval matrix, Procurement converts it into a purchase order.

An approved requisition is converted into a purchase order, assigned a PO number, and dispatched to the supplier from the Procurement portal.

The supplier, line items, and amounts carry over from the requisition. Procurement confirms the delivery date and payment terms before sending.

To generate a PO:

1. Open the approved requisition in the Procurement portal.
2. Choose Convert to PO - line items and supplier are pre-filled.
3. Confirm delivery date, shipping address, and payment terms.
4. Generate the PO number and dispatch to the supplier.
5. The PO status moves to Issued and awaits goods receipt.

5. Invoices & Payment

5.1 Three-Way Match

Before any supplier invoice is paid, Accounts Payable verifies that what was ordered, what was received, and what is being billed all agree.

Payment is released only after a successful three-way match between the purchase order, the goods receipt, and the supplier invoice.

If the three documents do not match within tolerance, the invoice is placed on hold and routed to Procurement to resolve the discrepancy.

The match checks three documents:

1. Purchase Order - what was ordered and at what price.
2. Goods Receipt - what was actually delivered and accepted.
3. Supplier Invoice - what the supplier is billing.
4. When all three agree within tolerance, payment is scheduled automatically.

Matched invoices are queued for payment on the next run. Held invoices appear on the AP exceptions dashboard until cleared.